PABRAI INVESTMENT FUNDS

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To:	All Limited Partners and Investors of the Pabrai Investment Funds
From:	Mohnish Pabrai, Managing Partner
Date:	July 14, 2022
Re:	**Q2 2022 Results etc.**

Dear Partners:

For the quarter ended June 30, 2022, a total of $19.2 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: $4.0 million PIF3: $8.2 million PIF4: $7.0 million

PIF2 is our oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has one open slot. We have a handshake deal for a new investor to take this slot on October 1. Thus, until we have full redemptions, PIF2 is closed to new investors.

PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is $3.5 million. PIF4 is for qualified US-based investors. The minimum investment to join PIF4 as a new partner is $5 million.

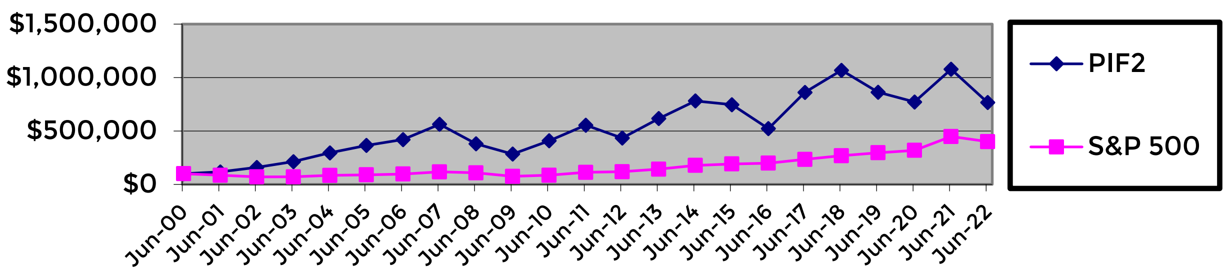
For current investors in any of the funds, the minimum addition to their current investment is $25,000. For IRA investors the minimum is $5,000. Here are the deposit slips for PIF2, PIF3 and PIF4. If you are interested in or would like more information about the October 1, 2022 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
1/1/22-6/30/22	-20.0%	-29.6%
Annualized	**6.6%**	**9.8%**
Cumulative	**300.5%**	**666.4%**

Comparison of changes in value of $100,000 invested in PIF2 vs. the Indices.
PIF2: $766,400; S&P 500: $400,500

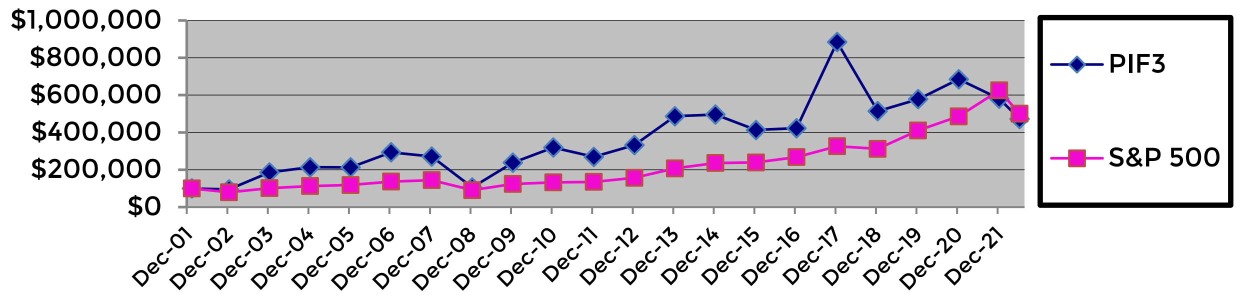


PIF2 Investors:
A $100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 ($197,900) was worth $1,073,700 as of June 30, 2022 (net to investors). This equates to an annualized return of 10.9% since inception – after all fees and expenses. An investment of $100,000 in the S&P 500 on July 1, 1999 was worth $425,400 on June 30, 2022 – an annualized gain of 6.5%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-6/30/22	-20.0%	-18.9%
Annualized	**8.2%**	**7.9%**
Cumulative	**400.4%**	**371.1%**

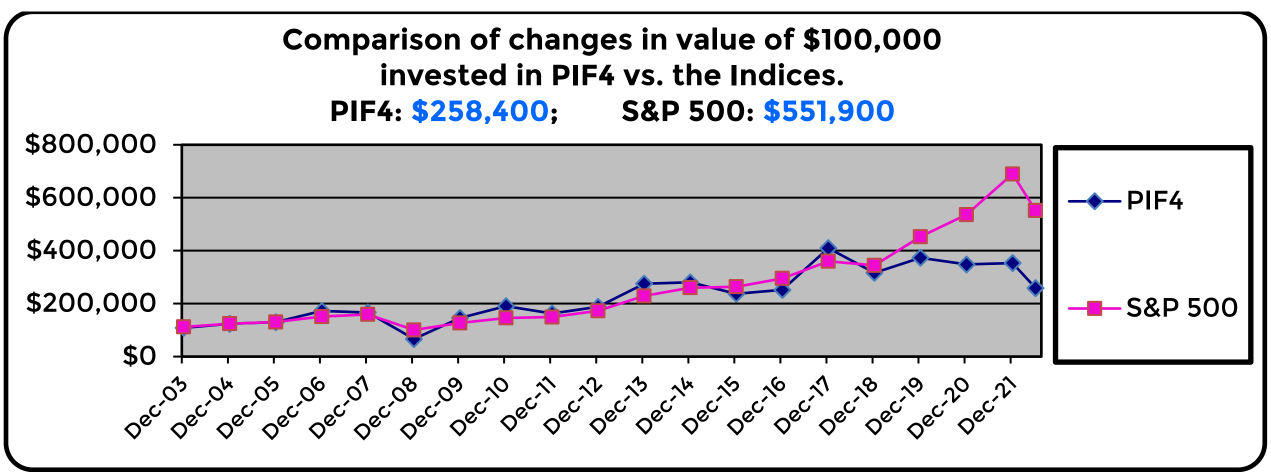
Comparison of changes in value of $100,000 invested in PIF3 vs. the Indices.
PIF3: $471,000; S&P 500: $500,400



PIF3 Investors:
A $100,000 investment in PIF3 at inception on February 1, 2002 was worth $471,000 as of June 30, 2022 (net to investors). This equates to an annualized return of 7.9% since inception. An investment of $100,000 in the S&P 500 on February 1, 2002 was worth $500,400 on June 30, 2022 – an annualized gain of 8.2%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-6/30/22	-20.0%	-26.9%
Annualized	**9.5%**	**5.2%**
Cumulative	**451.9%**	**158.4%**



PIF4 Investors:
A $100,000 investment in PIF4 at inception on October 1, 2003 was worth $258,400 as of June 30, 2022 (net to investors). This equates to an annualized gain of 5.2% since inception. An investment of $100,000 in the S&P 500 on October 1, 2003 was worth $551,900 on June 30, 2022 – an annualized gain of 9.5%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

The S&P declined 16.1% for the quarter ended June 30, 2022. It was a difficult one for markets and stocks. We did slightly better with a decline of 13.0%, 6.2% and 11.9% for the three funds respectively in Q2. The funds are still significantly behind the S&P 500 since 2018, but it is nice to see some tangible evidence and green shoots of what I believe will be robust, market beating performance in the years ahead for all three funds.

We had a negative outlier event with tax loss selling of one position in PIF2 and PIF4 this quarter that is explained in more detail on Page 7 of this letter. The tax loss selling had the effect of reducing the PIF2 and PIF4 NAV by 2.7% and 2.6% respectively. Without this outlier, PIF2 and PIF4 would have been down just 10.6% and 9.5% this quarter.

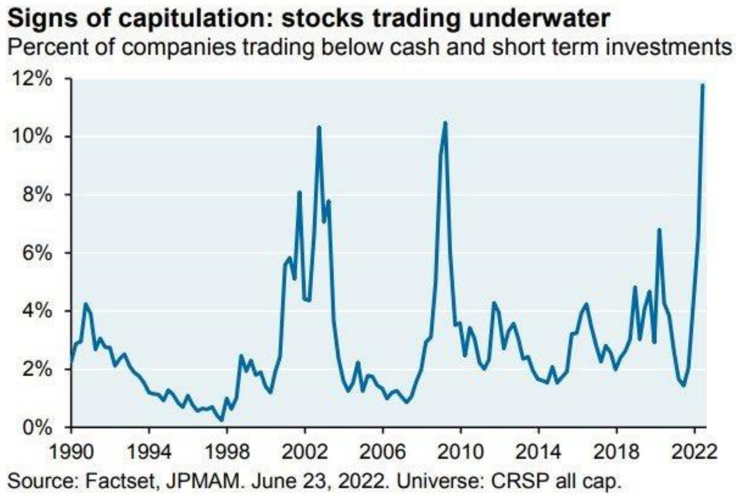
Great to see Healthy Inflows

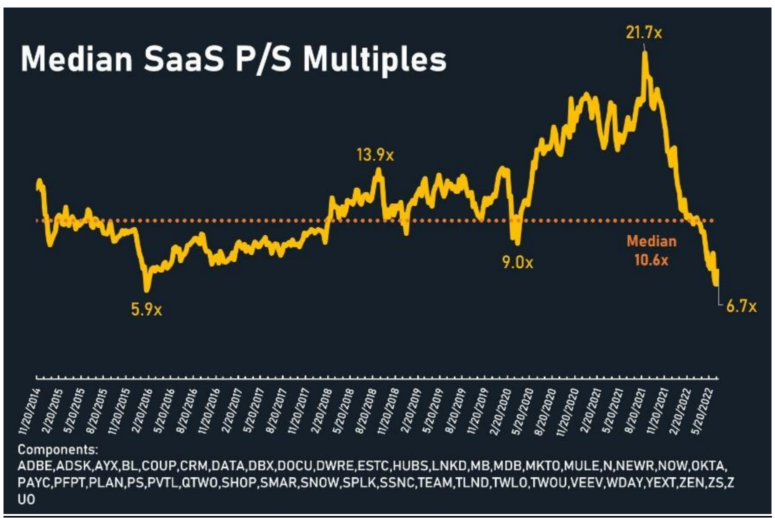
It has been my experience in the last 23 years of running Pabrai Funds that a lot of dollars come in after we have had recent robust performance and hardly anything comes in when the funds are down. For example, we had $68 million come in on July 1, 2007 and $1.8 million on April 1, 2009. From July 2007 through March 2009, the funds lost approximately 2/3 of their value, while from April 2009 through December 2009, the funds were up over 100%.

Q2 was an aberration from this long-term trend. The investors who added $19.2 million this quarter may have timed things almost perfectly. I think they will do exceptionally well with their investment. It also helps the rest of us. We are accumulating an exceptional compounder with great management and moats and this $19 million is very important in helping get that position to at or near 10% in all three funds.

Was Q2 2022 a market bottom?

I am not a market timer and pay very little attention to macro prognostications. I am singularly focused is on finding multi-baggers with muted downsides. Having said that, when I look at our portfolio and where it is changing hands, things do feel bottomish. These two charts seem to support the view that we may be headed onward and upward from here. SaaS is short for Software as a Service.





The Quest for Multi-baggers

We highlighted in recent slide decks (PIF2 Investor Deck and PIF3 Investor Deck) the current unusual situation in PIF2 and PIF3. PIF2's NAV is $145 million as of 6/30/22 and it owns about 10% of Reysas Logistics, a business currently worth over $750 million and one that may be worth over $1.5 billion in a few years. PIF2's stake in Reysas, which is presently valued at $16 million may be worth more than the whole fund is in a few years!

The situation is more extreme in PIF3, where the NAV is less than $130 million and it owns 20% of Reysas – a stake that may be worth $300 million in a few years. There are no guarantees, but in 10 years or less Reysas could be the first 100 bagger of Pabrai Funds (and the third one thus far for me). PIF4's exposure to Reysas is quite small, but it has some other great irons in the fire.

100 baggers are rare birds. And to be able to see a 100 bagger on day one is even rarer – almost impossible. Our first Reysas purchases were at less than 3% of liquidation value. It was thus easy to see a 30x in Reysas just by it changing hands at liquidation value. It took

me about a year to figure out that not only was Reysas cheap, but it was also a collection of great businesses with incredible capital allocators at the helm. It will not be hard for them to at least triple Reysas' intrinsic value in the next decade or so.

Also note that while probabilistically Reysas is a great bet, in investing there are no absolutes. It could also go south. Reysas is just the tip of the iceberg. All the funds have full (or nearly full) positions in at least two other holdings that are likely 10 baggers. Once we get to 10 baggers on these, it will be easier to tell their future trajectory than it is today. They may have more room to run beyond 10x.

The remaining holdings aren't slouches. Most of them look like sure shot multi-baggers. We also know that error rates in this business are high. Even if we are wrong on half of them, our results will be more than acceptable.

Tax Loss Selling Debacle (PIF2 and PIF4 only)

I hate tax loss selling, but it is a necessary evil. When PIF2 and PIF4 show meaningful net taxable gains, if we can, we sell a position in which we have offsetting losses and buy it back after 30 days. Where possible, we use the proceeds to temporarily buy a very similar business during that 30-day period, then swap it out. If the original stock moves, the odds are good that the swapped stock will move too. We focus on liquid names and those with limited risk of divergence. These moves inevitably cause some leakage, but that is usually benign given the tax savings. We've done this almost every year in PIF2 and PIF4 to optimize our respective tax bills.

In early June 2022, PIF2 and PIF4 had net long-term realized gains (mainly from our Seritage sales), and unrealized short-term losses in Prosus. Prosus owns 29% of Tencent and that stake accounts for 80%+ of its look-thru NAV. In 2021, Prosus announced that would not sell any Tencent shares till April 2024. Given the massive weight of Tencent in Prosus' NAV, the two stocks typically move in lockstep.

On June 2, PIF2 and PIF4 sold all Prosus shares and bought Tencent with the proceeds. The plan was to reverse the swap after 30 days. On June 27, Prosus made a bombshell announcement: it was cancelling its voluntary lock-up with Tencent. Instead, Prosus would engage in an open-ended program of selling Tencent shares for cash to buy back its own stock until its NAV discount narrows. Much to the chagrin of its management, Prosus trades at a steep discount to its underlying NAV. In early June, the marked to market look-thru value of Tencent alone was 2x Prosus' market cap.

The market reacted immediately and Prosus shot up almost 20% that day. Tencent's stock fell given that its largest shareholder was now selling some stock. Between 6/27 and 7/6, Prosus was up 26% and Tencent down 9.5%.

Our thesis in Prosus has not changed and we've proceeded to swap back the shares. But this fiasco resulted in PIF2 and PIF4 paying a hefty price both in missing the pop in Prosus and in booking losses via Tencent. The end result is that PIF2 and PIF4 have 29% and 27% fewer shares than they did on June 1. A terrible result.

The odds of Prosus making this type of radical about-face announcement within our 4-week window were infinitesimally low. We could have done our tax loss selling anytime from July through year end and not encountered this issue. If we had started earlier this year through May 24th it would also have been benign. I had no reason to believe we'd have any issues since both securities are so tightly tied at the hip.

Prosus is still trading at a wide discount, and I'm confident that we will make up the losses over time. PIF3, which does not have US tax obligations, did not engage in this swap and enjoyed the Prosus bump, which is partially why it outperformed PIF2 and PIF4 this quarter.

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 433,197 units of PIF4. The administrative team at Pabrai Funds and I own 54,157 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 92,070 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately $31 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q2 2022.

I have an approximately $5.1 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately $0.5 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

Your 6/30 investor statement have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Our fund administrator, Liccar, has migrated all investor portals to a new platform. You should have already received a link from Liccar Fund Services to set up your new portal. If you did not receive your email invitation, or you are experiencing issues, please contact Kimberly as soon as possible.

2021 Annual Report

The 2021 Annual Report of Pabrai Funds is on the website for your perusal.

Annual Redemption Date Only for Retirement Account RMDs

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 72 years or older. The purpose of this is to allow folks who are 72 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

We recommend that these folks make their first redemption request with the next 5 years in mind and redeem 20% of their balance. They can then keep those retirement funds in cash or a low-cost index fund with daily liquidity (e.g., an S&P 500 index fund with their broker/custodian) and tap that annually for RMDs as needed. Then, each year, they can redeem an additional 3.5% - 7% to make sure that they have sufficient funds for RMDs at all times.

We need to receive the redemption request with 60 days' advance notice (i.e., by August 1st). Please nudge Kimberly Engleman at ke@pabraifunds.com if this is of interest and she will provide you with a redemption request form.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. With zero travel due to Covid, I have reduced my decline rate on speaking to students. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Q&A at Harvard Business School Investment Conference - April 2022

I had a fun fireside chat at the HBS Investment Conference. The Investment Conference is one of the biggest conferences arranged by HBS students each year. It is attended by 400+ students across MBA programs who have a background or interest in the investment management industry. We talked about Ben Graham, micro vs macro investing and investment checklist.

Q&A at Harvard Business School Investment Conference - April 2022 - Chai with Pabrai (chaiwithpabrai.com)

Q&A session with Doctors Investing Group - February 2022

I very much enjoyed my Q&A session with Tom Dittrich for the Doctors Investing Group. I discussed value investing, diversified vs. concentrated portfolio and shameless cloning.

Q&A session with Doctors Investing Group - February 2022 - Chai with Pabrai (chaiwithpabrai.com)

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2022 Annual Meeting – Save the Date

Covid-permitting, we are excited for the return of our in-person annual meeting in 2022! We intend to have two annual meetings held sequentially in 2022: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds.

The **In-Person Austin** meeting is scheduled to be held on **Saturday, September 10th, 2022** at 4:00 PM Central Time at:

St. Edwards University
John Brooks Williams Science Center South
3001 South Congress, Austin, Texas 78704-6489 Tel: +1 512-448-8400

St. Edwards has a beautiful campus lined with 100-year-old Texas live oak trees and is only 10 minutes from downtown Austin. It is also a 10-minute drive from Austin-Bergstrom International Airport (AUS).

The Omni Barton Creek Resort & Spa is 20 minutes from St. Edwards and offers picturesque views of Texas Hill Country:

Omni Barton Creek Resort & Spa (20-minute drive to St. Edwards)
8212 Barton Club Dr, Austin, TX 78735
Tel: +1512.329.4000

There are many hotels in downtown Austin that are 10 minutes from St. Edwards. Please note that the Longhorns are playing Nick Saban's Crimson Tide on Sept. 10 at home. Thus, most hotels near the UT Austin campus are quoting very high rates. If you book one 10 miles or so away from campus, the rate will be a lot better. We'll try to schedule future Austin annual meetings when the Longhorns are away.

Agenda for the Austin meeting:

4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 – 7:15 PM:	Cocktail Hour

The **Virtual** meeting is tentatively scheduled to be held via video conference on **Saturday, September 24th, 2022** at 2:00 PM Central Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

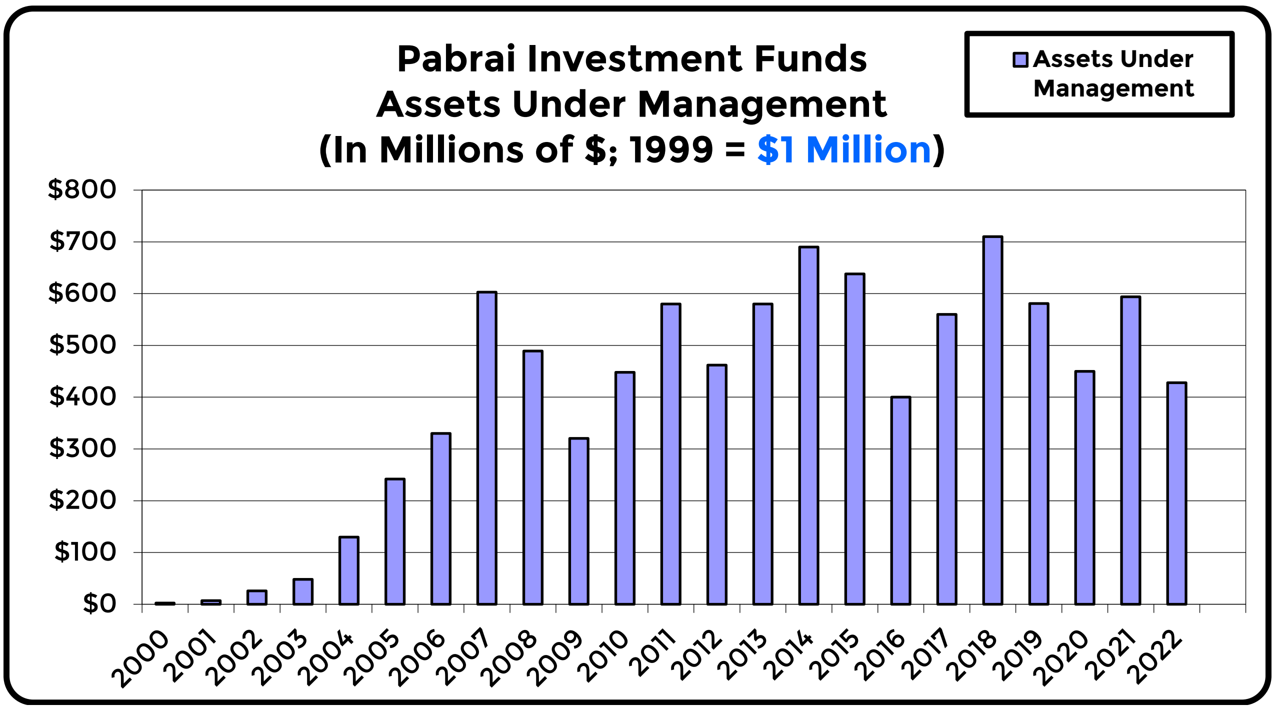
Agenda for the virtual meeting:

2:00 – 4:00 PM Central Time: Presentation and Q&A

The invites will go out electronically via email in July 2022. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are now a Registered Investment Advisor, the SEC requires that all guests must be "accredited investors," which includes your adult kids (22 years or older). The invitation is non-transferable. I look forward to seeing you in September.

Assets Under Management

There is $428 million in assets across all three funds as of June 30, 2022.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	$10.00
330,014	06/30/2001	$11.74
1,027,795	06/30/2002	$15.89
1,950,982	06/30/2003	$21.32
2,445,212	06/30/2004	$29.58
2,696,687	06/30/2005	$36.52
2,646,687	06/30/2006	$41.99
3,013,111	06/30/2007	$56.25
2,934,990	06/30/2008	$38.01
2,468,091	06/30/2009	$28.45
2,409,165	06/30/2010	$40.84
2,257,421	06/30/2011	$55.46
2,180,892	06/30/2012	$43.36
2,057,676	06/30/2013	$61.68
1,906,927	06/30/2014	$78.13
1,795,006	06/30/2015	$74.64
1,684,602	06/30/2016	$52.26
1,774,805	06/30/2017	$86.17
1,959,084	06/30/2018	$106.77
1,896,122	06/30/2019	$86.30
1,830,037	06/30/2020	$77.13
1,841,919	06/30/2021	$107.77
1,841,919	09/30/2021	$108.71
1,806,321	12/31/2021	$108.91
1,807,057	03/31/2022	$88.11
1,859,576	06/30/2022	$76.64

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	$10.00
265,919	12/31/2002	$9.48
485,041	12/31/2003	$18.63
1,774,753	12/31/2004	$21.37
2,478,793	12/31/2005	$21.32
2,930,608	12/31/2006	$29.37
6,438,615	12/31/2007	$27.09
5,415,189	12/31/2008	$10.57
5,038,658	12/31/2009	$23.79
4,885,267	12/31/2010	$31.95
4,701,613	12/31/2011	$26.92
4,318,818	12/31/2012	$33.21
4,384,591	12/31/2013	$48.70
4,290,222	12/31/2014	$49.61
3,805,336	12/31/2015	$41.33
2,433,652	12/31/2016	$42.27
2,409,693	12/31/2017	$88.45
2,473,097	12/31/2018	$51.42
2,376,897	12/31/2019	$57.85
2,326,717	12/31/2020	$68.52
2,442,868	12/31/2021	$58.11
2,493,556	03/31/2022	$50.25
2,667,607	06/30/2022	$47.11

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	$10.00
1,219,330	12/31/2003	$10.84
5,627,712	12/31/2004	$12.40
9,314,803	12/31/2005	$13.01
11,528,331	12/31/2006	$17.23
16,899,746	12/31/2007	$16.64
15,737,042	12/31/2008	$6.66
15,725,066	12/31/2009	$14.57
15,251,129	12/31/2010	$19.05
14,493,713	12/31/2011	$16.24
12,398,564	12/31/2012	$18.85
11,560,683	12/31/2013	$27.53
10,642,015	12/31/2014	$28.03
9,531,764	12/31/2015	$23.71
8,792,042	12/31/2016	$25.21
8,040,030	12/31/2017	$40.96
7,809,565	12/31/2018	$31.64
6,628,989	12/31/2019	$37.33
6,034,088	12/31/2020	$34.82
5,783,836	12/31/2021	$35.33
5,894,056	03/31/2022	$29.33
6,169,477	06/30/2022	$25.84

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.